NCERT Summary: Topic 15: Economic Reforms Since 1991

Source Integration

- NCERT Class 11 Indian Economic Development, Chapter 3: Liberalisation, Privatisation and Globalisation: An Appraisal

Core Factual & Conceptual Architecture

1. The 1991 Balance of Payments Crisis & Genesis of Reforms

- Structural Weaknesses: Persistent high fiscal deficits financed by unsustainable domestic and foreign sovereign borrowing throughout the 1980s, coupled with consumption-oriented public spending rather than productive asset generation.
- External Sector Collapse: Import growth far exceeded export earnings; foreign exchange reserves plummeted to an alarming low, insufficient to finance even two weeks of necessary imports.
- International Debt Impasse: Default risk on external sovereign commercial loans led to a complete freeze in fresh international credit.
- Multilateral Bailout: India secured a 7 billion dollar loan package from the International Monetary Fund (IMF) and the World Bank (International Bank for Reconstruction and Development - IBRD).
- Structural Adjustment Conditionality: Financial assistance was made strictly conditional on dismantling administrative state controls, terminating industrial licensing, opening up domestic markets to private enterprise, and reducing external trade barriers.
- New Economic Policy (NEP) 1991 Framework:
  - Stabilisation Measures: Short-term macroeconomic interventions focused on restoring foreign exchange liquidity, stabilizing the currency, and curbing runaway inflation.
  - Structural Reform Measures: Long-term policy shifts aimed at removing structural supply-side bottlenecks, expanding private competition, and improving international industrial competitiveness.

2. Liberalisation: Sectoral Deregulation

- Industrial Sector Reforms:
  - Abolition of Industrial Licensing: The License Raj was dismantled across nearly all manufacturing sectors, retaining mandatory licenses for only a small set of strategic or environmentally hazardous categories (alcohol, cigarettes, hazardous chemicals, industrial explosives, electronics, aerospace, pharmaceuticals).
  - Narrowing Public Sector Monopoly: Public sector exclusivity was restricted to atomic energy and key core railway operations.
  - Dereservation: Most product lines previously reserved exclusively for Small-Scale Industries (SSI) under the Karve Committee framework were thrown open to all enterprises.
  - Market Pricing: Transitioned from administered price controls to market-clearing equilibrium mechanisms.
- Financial Sector Reforms:
  - Regulatory Shift: The Reserve Bank of India transitioned from an authoritarian administrative controller to a market facilitator.
  - Entry of Private Banks: Granted licenses to new domestic and foreign private commercial banks.
  - Foreign Equity Limits: The permissible foreign equity investment cap in domestic private banking was raised to around 74 percent.
  - Institutional Inflows: Permitted Foreign Institutional Investors (FIIs), including pension funds, hedge funds, and global asset managers, to invest directly in domestic stock and bond markets.

- Tax & Fiscal Reforms:
  - Direct Tax Rationalization: Progressively lowered peak marginal rates for personal income tax and corporation tax to encourage voluntary compliance and reduce tax evasion.
  - Indirect Tax Overhaul: Systematic simplification culminating in the Goods and Services Tax (GST) following the 2016 Constitutional Amendment, creating an integrated national market under the principle of one nation, one tax, one market.
- Foreign Exchange & Trade Reforms:
  - Two-Step Currency Devaluation: Devalued the rupee in July 1991 to boost export price competitiveness and curb capital outflows.
  - Transition to Managed Floating: Allowed the exchange rate to be determined by market supply and demand, with central bank intervention limited to containing volatility.
  - Dismantling Trade Restrictions: Phased out quantitative import licensing and quotas (fully eliminating quantitative quotas on consumer goods and farm commodities by April 2001).
  - Tariff Reductions & Export Incentives: Reduced customs duties and eliminated export taxes to integrate domestic producers with global trade networks.

3. Privatisation & Public Sector Enterprise Autonomy

- Conceptual Scope: Discharging state ownership and control over public enterprises through withdrawal from direct management or outright equity transfer.
- Disinvestment Strategy: Diluting the government's equity stake in Public Sector Enterprises (PSEs) via public offerings to introduce commercial market discipline, upgrade managerial performance, and raise non-debt fiscal capital.
- Autonomy Gradation: Introduced specialized operational status tiers to grant high-performing central public sector enterprises managerial and financial independence:
  - Maharatna: Top-tier central enterprises with large investment freedom (such as Indian Oil Corporation, Steel Authority of India Limited).
  - Navratna: Mid-tier strategic enterprises granted commercial flexibility (such as Hindustan Aeronautics, MTNL, IRCTC).
  - Miniratna: Category I and II enterprises given measured capital expenditure autonomy.
- The Privatisation Debate: Supporters argue disinvestment improves capital productivity and lowers fiscal burdens; critics argue it amounts to selling valuable national assets below true worth, questioning whether profitable strategic assets should be sold off alongside loss-making firms.

4. Globalisation, Outsourcing & Multilateral Trade

- Globalisation Definition: Integrating the domestic economy with world markets to establish cross-border flows of commodities, technology, services, and capital.
- Outsourcing as an Engine of Growth:
  - Transition: Global corporations contracted specialized operational services previously handled in-house to third-party overseas service hubs.
  - India's Emergence: Low wage rates and a large pool of skilled, English-speaking technical and managerial professionals made India the primary global destination for Business Process Outsourcing (BPO), call centers, software engineering, remote accountancy, and digital diagnostics.
  - Indian Multinationals: Domestic corporate leaders developed global operations (such as ONGC Videsh across 16 countries, Tata Steel in 26 countries, HCL Technologies in 31 countries, Dr. Reddy's Laboratories).
- World Trade Organisation (WTO) Framework:
  - Successor to GATT: Established on January 1, 1995, succeeding the General Agreement on Tariffs and Trade (established in 1948).

- Mandate: Administers a rule-based multilateral trading system covering both physical goods and cross-border services.
- Developing Country Critique: India fulfilled tariff reduction commitments, but developing nations continue to challenge high agricultural subsidies maintained by advanced economies, which artificially depress world food prices and hurt farmers in the Global South.

5. Macroeconomic Appraisal of the Reform Era

- Sectoral Growth Performance:
  - Agriculture: Experienced declining and volatile growth rates post-1991, driven by reduced public capital investment and input subsidy rationalization.
  - Industry: Fluctuated sharply due to exposure to cheaper industrial imports and uneven infrastructure support.
  - Services: Consistently expanded faster than overall GDP, driving post-1991 economic growth.
- Foreign Capital Expansion: Total foreign investment inflows (FDI and FII) rose from approximately 100 million US dollars in 1990-91 to tens of billions of dollars in subsequent decades, strengthening foreign exchange reserves and integrating domestic capital markets with global financial networks.

✍ Notes & Updates